

BEFORE THE
FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.

Worldwide Nexus Logistics, LLC,
Complainant,

v. Docket No. 25-15

Wallenius Wilhelmsen Ocean AS,
Respondent.

COMPLAINANT'S REPLY TO RESPONDENT'S OPPOSITION BRIEF AND MOTION TO
DISMISS

SECTION I – INTRODUCTION

Respondent's Motion repeatedly characterizes this matter as an "isolated clerical error" and a conventional cargo-loss dispute. The contemporaneous record reflects a more specific and consequential set of facts.

This case arises from Respondent's omission of three valid sea waybills from Cargo Manifest No. 127-2023-488. Respondent accepted the cargo for transportation, issued valid sea waybills, loaded the cargo aboard the vessel, and transported it. However, the information corresponding to three sea waybills was not included in the manifest transmission submitted to Peruvian customs authorities. CX-0509–CX-0510; CX-0519–CX-0524; Resp't Statement of Material Facts ¶¶ 3–7. Respondent's own agent later acknowledged that "the information of 3 BLs" had not been considered in the electronic transmission, thereby admitting the omission. CX-0509–CX-0510. Respondent further represented that it would bear the resulting expenses and implement corrective measures so that the event would not occur again. CX-0509–CX-0510.

Peruvian customs authorities subsequently determined that the cargo had not been manifested, treated the cargo as unmanifested cargo, and initiated seizure and confiscation proceedings. CX-0509–CX-0510; Resp't Statement of Material Facts ¶¶ 7–10. The resulting loss did not arise from cargo damage, delay, shortage, or any traditional cargo-condition dispute. Rather, it arose from Respondent's handling of transportation documentation and manifest information relating to cargo entrusted to it for international transportation.

Respondent seeks dismissal by reducing these events to the labels "isolated clerical error" and "cargo-loss claim." In doing so, Respondent focuses primarily on the consequences of the omission while minimizing the conduct that caused those consequences. The issue before the

Commission is not whether cargo was ultimately lost. The issue is whether Respondent's conduct in handling and transmitting manifest information for cargo entrusted to it for transportation may be dismissed, as a matter of law, as nothing more than a non-actionable clerical mistake. On this record, Respondent has not carried that burden.

For the reasons set forth below, Respondent's Motion should be denied.

SECTION II – MISCHARACTERIZATION

Respondent's Motion repeatedly characterizes the events giving rise to this proceeding as an "isolated clerical error," a "documentation error," and a conventional cargo-loss dispute. Those descriptions are advocacy. They are not the contemporaneous descriptions contained in the record.

The contemporaneous record reflects that Respondent accepted cargo for transportation under three valid sea waybills, transported that cargo aboard the vessel, and subsequently failed to include the information corresponding to those sea waybills in Cargo Manifest No. 127-2023-488. CX-0509–CX-0510; CX-0519–CX-0524; Resp't Statement of Material Facts ¶¶ 3–7. Respondent's own agent later acknowledged that "the information of 3 BLs" had not been considered in the electronic transmission submitted to customs authorities. CX-0509–CX-0510. As a result, customs authorities determined that the cargo had not been manifested and initiated seizure and confiscation proceedings. CX-0509–CX-0510; Resp't Statement of Material Facts ¶¶ 7–8.

Notably, Respondent offers no declaration, affidavit, operational report, or other evidence explaining how the omission occurred within the manifestation process. Instead, Respondent repeatedly labels the event a "clerical error" and asks the Commission to accept that characterization as though it were an established fact. The contemporaneous record does not use that terminology. Rather, the record reflects the omission of information relating to three valid sea waybills from the manifest transmission and the resulting treatment of the cargo as unmanifested cargo. CX-0509–CX-0510.

The contemporaneous record further reflects that Respondent acknowledged that the omission had occurred, represented that it would bear the resulting expenses, and advised that corrective measures were being implemented so that the event would not occur again. CX-0509–CX-0510. Such statements are difficult to reconcile with Respondent's present effort to reduce the matter to a trivial paperwork discrepancy. While Complainant does not contend that these statements alone establish a violation of the Shipping Act, they demonstrate that Respondent itself treated the omission as a serious operational event requiring corrective action.

Indeed, Respondent's own June 1, 2026 submissions admit the omission of the three sea waybills from the original manifest, the subsequent customs determination that the cargo was not manifested, the resulting seizure, and the issuance of a corrected manifest. Resp't Statement of

Material Facts ¶¶ 5–11. The principal disputes presented by Respondent's Motion therefore concern the legal significance of those events rather than whether those events occurred.

Respondent's characterization of the conduct is particularly important because it forms the foundation of nearly every argument advanced in the Motion. The arguments concerning Crocus, jurisdiction, standing, damages, and limitations all depend upon first accepting Respondent's description of the underlying conduct. The Commission should evaluate the conduct reflected in the contemporaneous record rather than the shorthand labels subsequently attached to that conduct during litigation.

SECTION III – CROCUS / PRACTICE

Respondent correctly observes that the Commission's decision in Crocus establishes that an unreasonable "practice" under 46 U.S.C. § 41102(c) ordinarily requires more than a single isolated occurrence and generally concerns the manner in which a carrier conducts its business. Complainant does not dispute that Crocus supplies the governing legal framework.

Respondent's Motion, however, assumes the very conclusion it seeks to prove. Respondent repeatedly characterizes the conduct at issue as an "isolated clerical error" and then argues that Crocus forecloses relief because isolated clerical errors do not constitute unreasonable practices. The threshold question, however, is whether the conduct reflected in the record can properly be reduced to Respondent's characterization.

The contemporaneous record reflects that cargo transported under three valid sea waybills was omitted from Cargo Manifest No. 127-2023-488, that customs authorities treated the cargo as unmanifested cargo, and that seizure and confiscation proceedings followed. CX-0509–CX-0510; Resp't Statement of Material Facts ¶¶ 5–10. Respondent's own representatives acknowledged the omission, represented that Respondent would bear the resulting expenses, and advised that corrective measures were being implemented to prevent recurrence. CX-0509–CX-0510. Respondent nevertheless asks the Commission to conclude, as a matter of law, that these events constitute nothing more than the type of isolated occurrence contemplated by Crocus.

Significantly, Respondent's argument relies heavily on Complainant's testimony that he is unaware of other manifestation failures involving Respondent. Resp't Statement of Material Facts ¶¶ 30–33. Such testimony establishes only the limits of Complainant's personal knowledge. Complainant is not the custodian of Respondent's manifestation records, compliance reviews, internal investigations, or worldwide operational history. The absence of personal knowledge regarding other incidents is not affirmative proof that no such incidents occurred.

Notably, Respondent's argument treats the absence of evidence concerning other incidents as affirmative proof that no such incidents exist. The record contains no declaration from

Respondent's compliance personnel, manifestation personnel, or corporate representatives establishing that the omission at issue was unique within Respondent's operations.

Moreover, Respondent's own records reflect that the omission affected three separate shipments transported under three separate sea waybills and resulted in customs authorities treating the cargo as unmanifested cargo. CX-0509–CX-0510; CX-0519–CX-0524; Resp't Statement of Material Facts ¶¶ 2–7. Respondent's submissions do not establish that the event involved nothing more than a typographical or clerical mistake affecting a single document. Rather, the record reflects a manifestation failure affecting multiple shipments entrusted to Respondent for transportation. Whether such conduct may properly be characterized as the type of isolated occurrence contemplated by Crocus is itself the question presented by Respondent's Motion.

Complainant does not contend that the omission of three sea waybills automatically establishes a continuing practice, nor does Complainant contend that Crocus is inapplicable. Rather, Complainant submits that Respondent has not demonstrated that the admitted conduct reflected in this record can only be characterized as the type of isolated occurrence contemplated by Crocus. The Commission should therefore evaluate the actual conduct reflected in the record and the factual circumstances surrounding the manifestation failure rather than accepting Respondent's litigation characterization as a substitute for that analysis.

SECTION IV – CARGO LOSS VS TRANSPORTATION CONDUCT

This Case Concerns Transportation Conduct, not a Conventional Cargo-Loss Dispute

Respondent repeatedly characterizes this matter as a conventional cargo-loss claim governed exclusively by COGSA. That characterization focuses on the consequences of the conduct while minimizing the conduct that caused those consequences.

The challenged conduct in this proceeding is not cargo damage, cargo shortage, cargo delay, or physical loss of cargo during transportation. Rather, the challenged conduct concerns Respondent's handling and transmission of manifest information relating to cargo entrusted to it for international transportation. According to Respondent's own records, information corresponding to three valid sea waybills was omitted from Cargo Manifest No. 127-2023-488. CX-0509–CX-0510; CX-0525–CX-0553; Resp't Statement of Material Facts ¶¶ 5–7. Customs authorities subsequently determined that the cargo had not been manifested, resulting in seizure and confiscation proceedings. CX-0509–CX-0510; Resp't Statement of Material Facts ¶¶ 7–10.

This distinction is significant. Traditional cargo-loss disputes typically concern the condition, location, or timing of cargo. Here, the alleged misconduct concerns the carrier's transportation documentation function. The cargo was not confiscated because it was damaged, delayed, improperly stowed, or physically lost. The cargo was confiscated because customs authorities treated it as unmanifested cargo following the omission of information relating to three valid sea waybills from the manifest transmission. CX-0509–CX-0510; Resp't Statement of Material Facts ¶¶ 7–10.

Indeed, Respondent's own June 1, 2026 submissions acknowledge that customs authorities determined the three units were not included in the vessel's cargo manifest and that the seizure occurred as a consequence of that determination. Resp't Statement of Material Facts ¶¶ 7–8. Respondent therefore does not dispute the immediate cause of the seizure. Rather, Respondent disputes the legal characterization of the conduct that produced it.

Respondent relies on authority recognizing that the Commission is not a forum for ordinary cargo-loss disputes. Complainant does not disagree with that principle. However, Respondent's argument assumes that every claim resulting in cargo loss must necessarily be a cargo-loss claim. That is not the relevant inquiry. The relevant inquiry is whether the allegations concern conduct connected with the transportation services governed by the Shipping Act.

Applying that test, the focus of the Complaint is not the subsequent loss of the cargo, but Respondent's handling of transportation documentation and manifest information during the performance of international carriage. The seizure and ultimate loss of the cargo were consequences of that conduct. CX-0509–CX-0510; Resp't Statement of Material Facts ¶¶ 7–10. Respondent's effort to focus exclusively on the downstream consequences while disregarding the upstream conduct that produced them improperly narrows the issues presented by the Complaint.

Respondent repeatedly emphasizes that Complainant seeks recovery associated with the loss of the cargo. But the nature of the damages sought does not redefine the conduct being challenged. The Commission's jurisdictional inquiry focuses on the conduct alleged. Here, the conduct alleged concerns the omission of three valid sea waybills from a manifest transmission and the resulting treatment of the cargo as unmanifested cargo by customs authorities. CX-0509–CX-0510; Resp't Statement of Material Facts ¶¶ 5–10. Those allegations implicate transportation conduct and should not be dismissed merely by relabeling the matter as a conventional cargo-loss dispute.

SECTION V – STANDING

A substantial portion of Respondent's Motion is devoted to establishing that Complainant did not own the cargo at issue. Complainant does not dispute that fact.

Throughout this proceeding, Complainant has consistently acknowledged that the cargo belonged to its customers. The Complaint itself refers to harm suffered by Complainant and its customers. Complaint ¶ 12. Likewise, Complainant's prior Brief expressly recognized that "the cargo was owned by Complainant's customers" while explaining that Complainant had "a direct commercial interest in the successful performance of the transportation services it arranged." Complainant's Brief § V(D).

Respondent therefore spends considerable effort disproving a proposition that Complainant has never advanced. The issue before the Commission is not whether Complainant owned the cargo. The issue is whether Complainant suffered a legally cognizable injury arising from Respondent's conduct in connection with transportation services arranged by Complainant.

The record reflects that Complainant served as the transportation intermediary responsible for arranging the movement of the cargo, communicating with the cargo interests, addressing the consequences of the seizure and confiscation proceedings, pursuing remedies with Respondent, and attempting to resolve the resulting disputes. Complaint ¶ 5; Complainant's Brief, Factual Background. Those circumstances form a significant part of the injury alleged by Complainant.

Respondent's Motion largely treats cargo ownership as dispositive of injury. The Complaint, however, does not allege injury solely by virtue of ownership of the cargo. Rather, the Complaint alleges harm arising from Complainant's role in arranging the transportation, addressing the consequences of the seizure and confiscation proceedings, communicating with affected customers, pursuing remedies with Respondent, and attempting to mitigate the resulting losses. Respondent's ownership argument does not eliminate those allegations; it merely establishes that Complainant was not the owner of the cargo.

Ownership and injury, however, are distinct concepts. Even accepting Respondent's assertion that Complainant never obtained title to the cargo, that fact alone does not establish that Complainant suffered no injury whatsoever as a result of the events giving rise to this proceeding. Respondent's argument therefore reaches beyond the facts it actually establishes.

At a minimum, Respondent has not demonstrated that the absence of cargo ownership requires dismissal of Complainant's claims as a matter of law. Because Complainant has never asserted ownership of the cargo, Respondent's standing argument largely attacks a position that is not presented by the Complaint while leaving unresolved the separate question of whether Complainant suffered injury arising from the transportation services it arranged.

SECTION VI – TIME BAR

The Time-Bar Argument Depends Upon Respondent's Recharacterization of the Case

Respondent argues that Complainant's claims are extinguished by COGSA's one-year limitations provision because the cargo was not delivered and the Complaint was filed more than one year after the events at issue. That argument depends upon Respondent's threshold assertion that this proceeding is nothing more than a conventional cargo-loss claim.

The Complaint, however, challenges conduct that preceded and allegedly caused the subsequent loss of the cargo. Specifically, the Complaint concerns Respondent's handling and transmission of manifest information relating to cargo entrusted to it for international transportation.

According to the record, information corresponding to three valid sea waybills was omitted from Cargo Manifest No. 127-2023-488, resulting in customs authorities treating the cargo as unmanifested cargo and initiating seizure and confiscation proceedings. CX-0509–CX-0510; CX-0525–CX-0553; Resp't Statement of Material Facts ¶¶ 5–10.

Respondent's limitations argument therefore assumes the very point in dispute. By characterizing the matter solely as a cargo-loss claim, Respondent seeks to apply COGSA's limitations

framework without first addressing whether the challenged conduct concerns transportation practices and documentation functions governed by the Shipping Act.

Indeed, Respondent's Motion does not dispute that the seizure followed customs authorities' determination that the cargo had not been manifested. Nor does Respondent dispute that the omission of information corresponding to three valid sea waybills preceded that determination. Respondent instead seeks to characterize those events as giving rise solely to a conventional cargo-loss claim. Whether that characterization is correct remains a central issue presented by this proceeding. Resp't Statement of Material Facts ¶¶ 5–10; CX-0509–CX-0510.

Complainant recognizes that COGSA may apply to traditional cargo-loss disputes arising from the carriage of goods by sea. However, Respondent's Motion does not establish that the allegations presented here may be reduced, as a matter of law, to such a claim. Because Respondent's limitations argument depends upon its characterization of the underlying conduct, that argument cannot be separated from the jurisdictional and statutory issues discussed above.

Accordingly, Respondent has not demonstrated that dismissal based upon COGSA's one-year limitations provision is warranted on the present record.

SECTION VII – ATTORNEY FEES

Respondent's request for attorney fees should be denied.

This proceeding arises from undisputed events. Respondent does not dispute that information corresponding to three valid sea waybills was omitted from Cargo Manifest No. 127-2023-488. Nor does Respondent dispute that customs authorities subsequently treated the cargo as unmanifested cargo and initiated seizure and confiscation proceedings. Respondent's own representatives acknowledged that the omission had occurred, represented that Respondent would bear the resulting expenses, and advised that corrective measures were being implemented to prevent recurrence. CX-0509–CX-0510. Indeed, Respondent's own submissions acknowledge the omission of the three sea waybills, the subsequent customs determination that the cargo was not manifested, and the resulting seizure. Resp't Statement of Material Facts ¶¶ 5–11. The parties' dispute concerns the legal consequences of those events, not whether those events occurred. Under these circumstances, the Complaint cannot reasonably be characterized as frivolous, vexatious, or wholly lacking factual support.

The record further reflects that, for many months after the confiscation proceedings commenced, Respondent continued engaging in discussions concerning resolution of the matter. Respondent's representatives advised Complainant that proposals were progressing through approval stages, that legal teams were communicating regarding the matter, and that resolution remained under active review. In one communication, Respondent advised Complainant that the matter was "currently with the legal desk at our central office," that Respondent was "in the final stages of the process," and that it expected approval of its offer soon. CX-0229–CX-0230. Respondent further represented on multiple occasions that the matter remained under review by legal

personnel and that efforts toward resolution were continuing. CX-0235; CX-0239; CX-0279; CX-0283; CX-0285.

These communications are inconsistent with Respondent's present attempt to portray the Complaint as so lacking in merit that attorney fees should be awarded. Complainant reasonably continued pursuing resolution while Respondent represented that the matter remained under active review. The fact that the parties ultimately failed to resolve their dispute does not transform Complainant's claims into frivolous ones.

Accordingly, Respondent has not demonstrated that this proceeding is frivolous, vexatious, or pursued in bad faith, and its request for attorney fees should therefore be denied.

SECTION VIII – DEFICIENCY ORDER

Respondent argues that Complainant exceeded the scope of the Deficiency Order by revising portions of its Brief and Proposed Findings. That argument elevates form over substance and ignores the procedural posture of the case.

The Deficiency Order identified filing deficiencies and provided Complainant an opportunity to correct those deficiencies. Complainant complied by re-submitting corrected filings and supporting materials. The revised submissions did not introduce a new cause of action, new operative facts, new evidence concerning a different occurrence, or a new dispute. The underlying claim remained exactly the same: Respondent omitted information relating to three valid sea waybills from the manifest transmission, customs authorities treated the cargo as unmanifested cargo, and confiscation proceedings followed. CX-0509–CX-0510; Resp't Statement of Material Facts ¶¶ 5–11.

Respondent repeatedly characterizes clarifications and additional legal support as "new theories." They are not. The revised submissions simply clarified the same factual allegations and legal claim already contained in the Complaint. Moreover, the revised filings were submitted in direct response to the Commission's directive to correct identified deficiencies. Clarifying factual assertions, organizing exhibits, refining citations, and providing additional legal support for an existing claim are fundamentally different from asserting a new claim. Respondent's Motion conflates those concepts.

Most importantly, Respondent identifies no prejudice arising from the revised filings. Respondent filed a comprehensive Opposition and Motion to Dismiss addressing every argument it believed relevant to the dispute. The absence of any demonstrated prejudice confirms that Respondent fully understood the claims being asserted and was afforded every opportunity to respond.

Accordingly, Respondent's request for dismissal based upon alleged noncompliance with the Deficiency Order should be denied.

SECTION IX – CONCLUSION

Respondent's Motion asks the Commission to dismiss this proceeding by characterizing the events at issue as an isolated clerical error and a conventional cargo-loss dispute. The contemporaneous record reflects a more specific set of facts: cargo transported under three valid sea waybills was omitted from the manifest transmission, customs authorities treated the cargo as unmanifested cargo, seizure and confiscation proceedings followed, and Respondent's own representatives acknowledged the omission, represented that Respondent would bear the resulting expenses, and advised that corrective measures were being implemented. CX-0509–CX-0510; CX-0519–CX-0524; Resp't Statement of Material Facts ¶¶ 5–11.

Throughout its Motion, Respondent focuses on the consequences of the omission while minimizing the conduct that produced those consequences. Respondent further assumes several conclusions that remain disputed, including whether the challenged conduct may properly be reduced to the type of isolated occurrence contemplated by *Crocus* and whether the Complaint presents nothing more than a conventional cargo-loss claim governed exclusively by COGSA. Those issues lie at the heart of the parties' dispute and cannot be resolved merely by adopting Respondent's characterization of the underlying conduct.

Viewing the record as a whole, Respondent has not demonstrated that dismissal is warranted for failure to state a claim, summary judgment, lack of jurisdiction, lack of standing, limitations, alleged noncompliance with the Deficiency Order, or attorney fees.

For all of the foregoing reasons, Respondent's Motion should be denied in its entirety.

Respectfully submitted,

WORLDWIDE NEXUS LOGISTICS, LLC

By: /s/ Jean C Lopez

Jean C Lopez

President

Complainant, Pro Se

Dated: June 15, 2026